Ben & Gerri's Cafe

LeBow Finance Impact Challenge 2026

Team: 2 / Strategic Insight Group

Submission: Written Report

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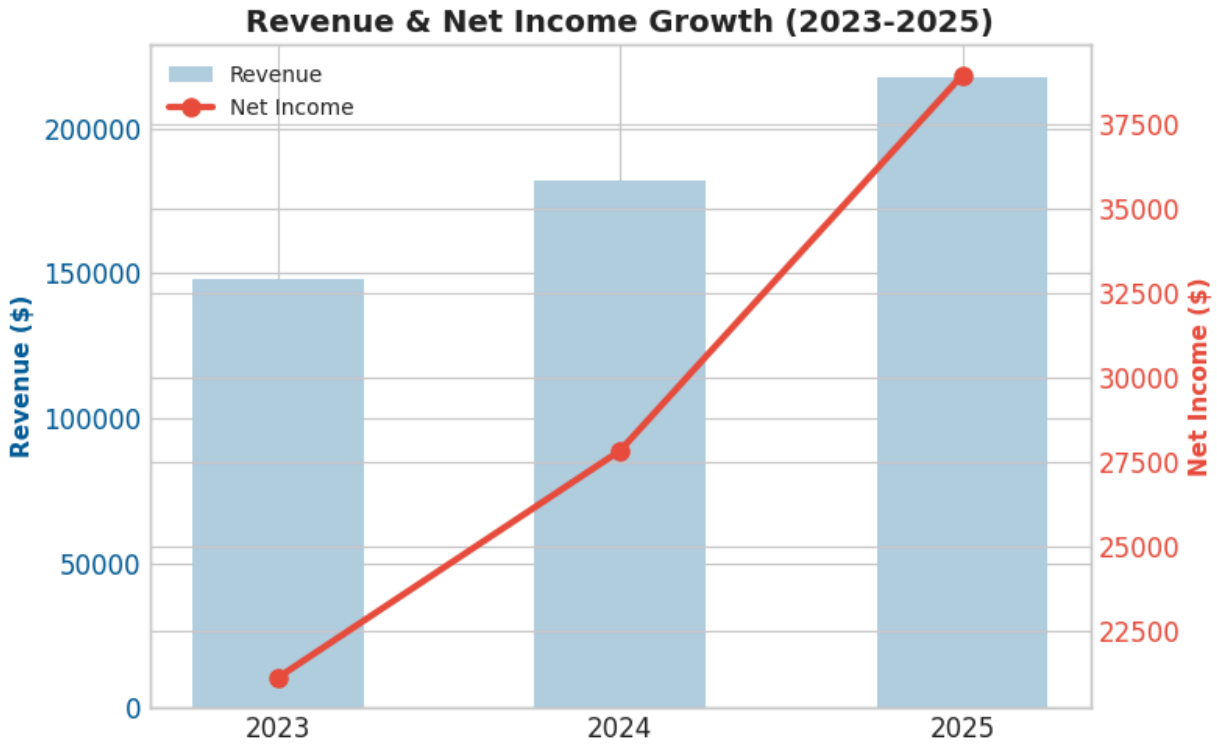
Executive Summary

Through our company's meticulous analysis of the provided statements, we came to the conclusion that Ben & Gerri's Café is able and should add a second location to promote growth across their company. We reviewed the café's 2023–2025 financial statements using trend and ratio analysis and found that revenue grew at roughly 21.4% per year (CAGR ≈ 21.4%), margins improved, debt declined, and operating cash flow strengthened. Based on these results, the café appears financially healthy and able to fund the expansion from internal cash. The main risk is how to execute: a second location adds a new layer of fixed costs and requires cash up front before demand is proven. We recommend moving forward only with clear guardrails: confirm lease terms and expected foot traffic, set simple weekly launch targets (transactions, average ticket, labor efficiency, and waste), and be ready to adjust hours, staffing, or product mix quickly if performance lags.

1) Revenue growth (CAGR) and sustainability

Revenue grew from $148,000 in 2023 to $218,000 in 2025, an annual growth rate of about 21.4%. This is strong for a single-location café, but it's not sustainable long term once the store starts hitting limits like space, peak-hour capacity, and local demand. Maintaining this pace would require expansion or major operational changes such as opening a second location, extending hours, raising prices or diversifying its menu would sustain a similar rate. The proposed medical school location could help drive future growth by attracting a new customer base, but it would also be important to confirm demand with foot traffic and operating-hours data before moving forward.

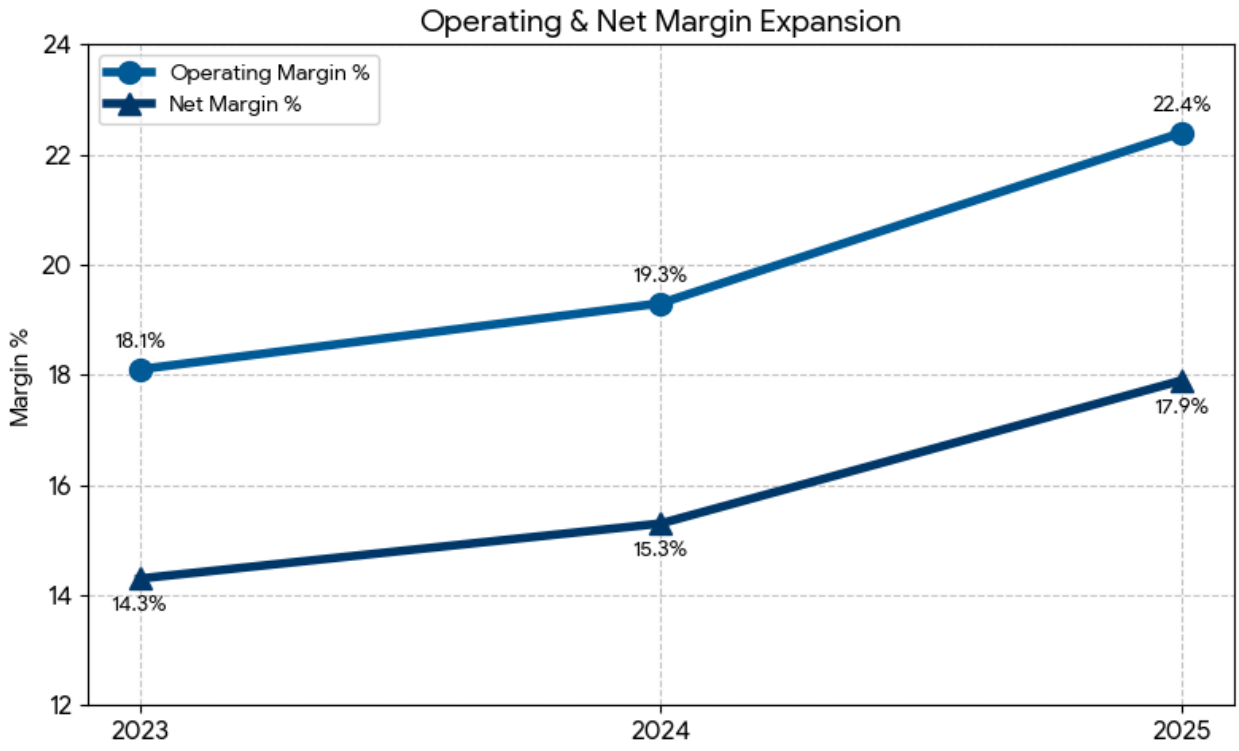


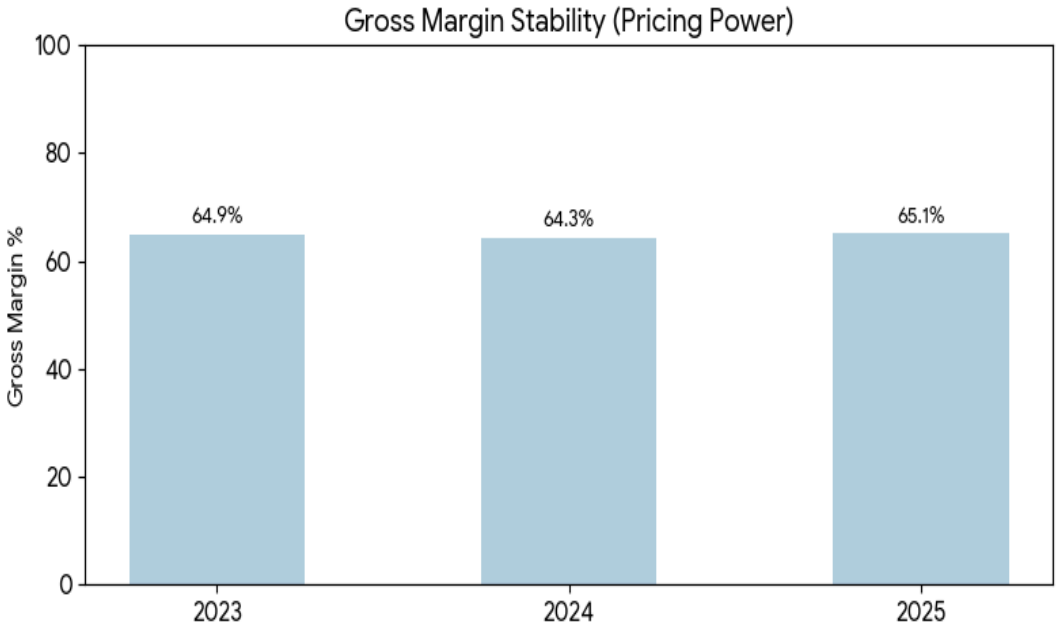
2) Projected Revenue Growth

To estimate future growth, we used several revenue scenarios instead of one forecast. If Ben & Gerri's Café stays as one location, growth will likely slow as it runs into limits like space, staffing, and operating hours. In that case, a reasonable annual growth range is about 8–12% recognizing that the historical ~21.4% CAGR was driven by early-stage ramp-up and is not expected to persist. Keeping the historical CAGR would likely require expansion or major operating changes. If the second location performs well, total company revenue could grow much faster by adding new sales rather than just increasing revenue at the original store. Overall, this suggests future CAGR could be around 8–12% without expansion and 30%+ with a strong second-location rollout.

3) Profitability trends

Gross profit rose from $96,000 to $142,000, while gross margin stayed very consistent in the mid 60% range in 2023 to 64.9%, 64.3% in 2024, and 65.1% in 2025. This shows that the cafe was able to grow without sacrificing pricing or cost control. Operating income rose from $26,800 to $48,800 and operating margin expanded from 18.1% to 22.4%, suggesting operating expenses grew more slowly than sales. Net income also improved significantly from $21,120 to $38,960 with net margins rising from 14.3% to 17.9%. Interest expense fell from $400 to $100 as debt was repaid which further supported higher net income.





4) Fixed vs variable expenses and operating leverage

In terms of fixed and variable costs, the company's variable costs consist of materials and direct labor which saw a rate of increase of 25% from 2023 to 2024 but only about a rate of increase of 17% from 2024 to 2025, suggesting that the business became more efficient during that time. The company's fixed and semi fixed costs consist of rent, insurance, depreciation, and a baseline level of administrative salaries. As sales grew, fixed costs were spread over a larger revenue base, so operating margin expanded (operating leverage). A second location resets this dynamic by adding a new fixed-cost base (rent, baseline staffing coverage, utilities, depreciation); profitability depends on whether the new site reaches sufficient sales volume quickly.

5) Cash flow from operating activities (CFO) vs. net income

Cash Flow from Operating Activities (CFO) measures the actual cash generated or used by a company's core business, calculated as net income adjusted for non-cash items (e.g.,

depreciation) and working capital changes. Net income measures profitability over a period, while cash flow measures liquidity and the actual cash available. CFO exceeded net income each year (2023: $25,120 vs. $21,120; 2024: $32,340 vs. $27,840; 2025: $44,260 vs. $38,960), which generally indicates strong earnings quality.

6) Financial risk (debt and equity)

Over the past three years, Ben & Gerri's Café has strengthened financially, particularly in borrowing. The original $4,000 bank loan is being paid down steadily, with interest expense falling from $400 in 2023 to $100 in 2025, leaving about $1,000 by year-end 2025. Retained earnings have grown equity from the owners' initial $28,000 contribution to roughly $49,120 in 2023, $76,960 in 2024, and $115,920 in 2025. This has reduced the debt-to-equity ratio from about 0.08 to roughly 0.01, making financial leverage negligible.

The main risk with expansion is not debt but the $32,000 upfront cash required, plus higher fixed costs (extra rent, administrative salaries, insurance, and depreciation) for the new location before confirming steady traffic from the medical school crowd.

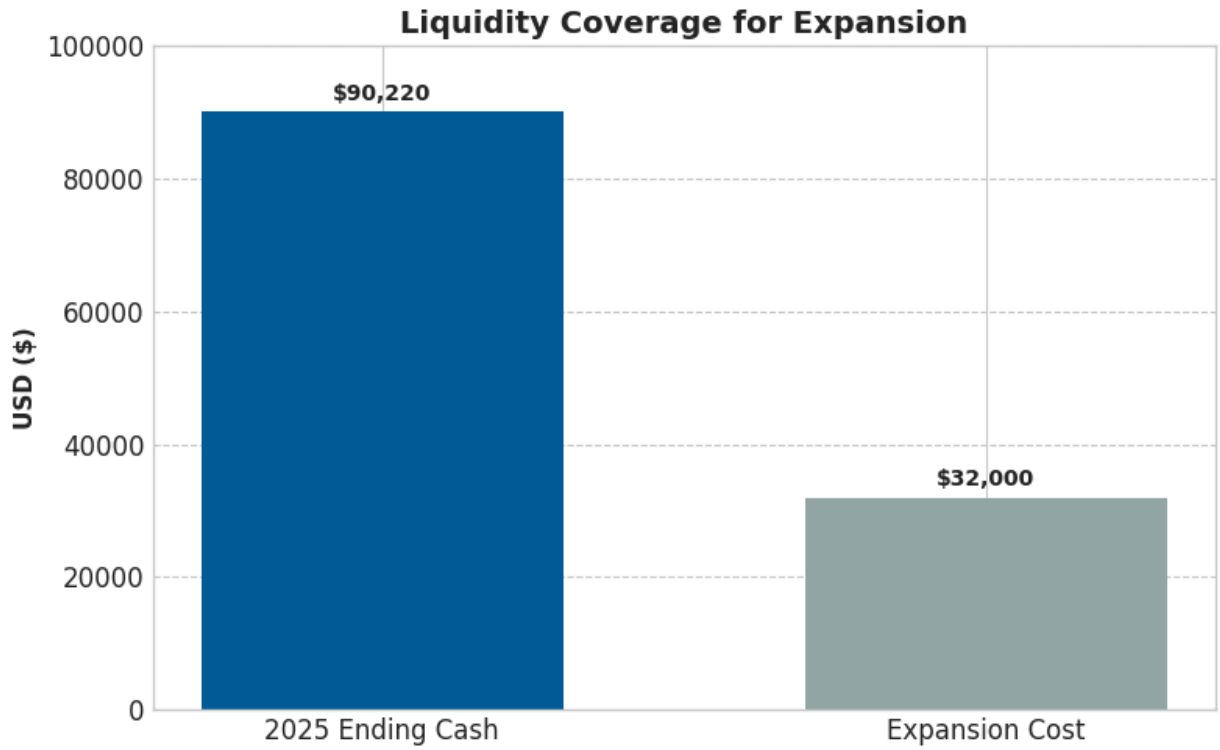
7) Is the café financially healthy

Overall, Ben & Gerri's Café looks really solid financially. Cash on hand increased from $32,620 in 2023 to $90,220 by 2025, and profitability has kept climbing notably year after year. Working capital stays pretty modest compared to sales, which actually makes sense for a quick-turnover coffee shop. The cash conversion cycle is very short, hovering around 4 to 6 days across the three years (calculated as accounts receivable days plus inventory days minus payables days). At the same time, the café has smartly invested in equipment, with net fixed assets growing steadily, all while generating strong positive cash flow from operations. This

shows the business has funded its own growth without leaning significantly on extra borrowing. Bottom line: the financial picture is healthy, low-risk, and well-positioned for thoughtful next steps."

8) Is there enough internal cash to fund expansion

Yes, the numbers look promising based on recent cash generation. In 2025, cash flow from operations came in at $44,260, and capital expenditures (mostly maintenance-level equipment) were only $8,000, leaving roughly $36,260 of free cash after those routine investments. The café ended the year with a healthy $90,220 in cash on hand. That means the $32,000 needed for the new location fits comfortably within what we've built up internally. As long as the medical school spot doesn't run sustained losses, we could cover the upfront costs while keeping a solid cash buffer, enough to handle several months of combined fixed expenses for both locations. This approach lets us launch without draining reserves or rushing to borrow more."



9) Feasibility of incorporating a social mission

Adding a social mission is feasible as long as it stays specific, measurable, and operationally light, especially during the second-location launch. The upside is meaningful for a campus-adjacent business: it can strengthen brand loyalty, support hiring/retention of student employees, and align with university community values. The downside is the risk of added cost, added complexity, or distraction at the exact time we need execution discipline.

We recommend starting with one trackable initiative that is either customer-funded or capped as a small percent of sales so it cannot weaken financial flexibility. A strong first option is a customer round-up program at checkout to fund coffee/meal vouchers for students in need. To keep it measurable and controlled, we would track:

- Dollars raised per month and % of transactions rounding up
- # of vouchers issued and voucher redemption rate
- Average voucher value and administrative hours per month
- A hard cap such as ≤ 0.5% of revenue (or ≤ $1,000/year) funded primarily by customer round-ups, not operating cash

This approach creates real impact, is easy to explain in the video, and protects profitability because the program is either customer-funded or tightly capped. It can be expanded later (fundraising nights or mentorship/training programs) once the second location is stabilized.

10) Recommendation: proceed or not

We recommend opening the second location, as long as it's backed by pre-launch validation and disciplined execution. The company's history shows improving margins, strong operating cash flow, and low leverage, which puts it in a good position to expand. A second site creates opportunities to reach a new customer base and benefit from purchasing and marketing efficiencies. With that said, there are real risks that include uncertain foot traffic at the new building, staffing with the two locations, and potential margin pressure if the sales ramp up slowly while fixed costs hit right away. To manage these risks, management should set clear launch targets such as daily transactions, average ticket size and labor hours per dollar of sales.

Appendix A – Calculations (Summary)

1) Revenue growth (CAGR)

Revenue (used in text): 2023 = $148,000; 2025 = $218,000

CAGR (2023–2025) = (Revenue_2025 / Revenue_2023)^(1/2) − 1

= (218,000 / 148,000)^(1/2) − 1

= 0.2137 ≈ 21.4%

2) Profitability trends (margins and income)

Metric	2023	2024	2025
Revenue ($)	148,000	182,000	218,000
Gross Profit ($)	96,000	117,000	142,000
Gross Margin (%)	64.9%	64.3%	65.1%
Operating Income ($)	26,800	35,100	48,800
Operating Margin (%)	18.1%	19.3%	22.4%
Net Income ($)	21,120	27,840	38,960
Net Margin (%)	14.3%	15.3%	17.9%

Interest Expense ($)	400	—	100

Formulas used in the narrative:

Gross Profit = Revenue − COGS (COGS inputs omitted; only Gross Profit and Gross Margin are referenced).

Gross Margin = Gross Profit / Revenue

Operating Income = Gross Profit − Operating Expenses (OpEx line-items omitted; only Operating Income and Operating Margin are referenced).

Operating Margin = Operating Income / Revenue

Net Margin = Net Income / Revenue

3) Cash flow from operations (CFO) vs. net income

Year	Net Income ($)	CFO ($)
2023	21,120	25,120
2024	27,840	32,340
2025	38,960	44,260

CFO is referenced as a reported output in the essay. CFO reconciliation inputs (Depreciation and working-capital changes) are not cited in the narrative and are omitted here.

4) Free cash flow (FCF) and expansion funding capacity

2025 CapEx (used in text): $8,000

FCF = CFO − CapEx

2025 FCF = 44,260 − 8,000 = 36,260

Internal cash coverage referenced in the essay:

Ending Cash (2025) = $90,220

Expansion startup cost = $32,000

Remaining cash buffer = 90,220 − 32,000 = 58,220

Coverage multiple = 90,220 / 32,000 = 2.82× (≈ “nearly 3×”)

5) Financial risk (debt, equity, leverage)

Metric	2023	2024	2025
Total Debt ($)	4,000	3,000	1,000
Total Equity ($)	49,120	76,960	115,920
Debt-to-Equity	0.08	0.04	0.01

Debt-to-Equity = Total Debt / Total Equity

6) Liquidity efficiency (cash conversion cycle)

CCC = DSO + DIO − DPO (component days are not cited in the essay and are omitted).

CCC (days): 2023 = 5.5; 2024 = 4.4; 2025 = 4.2

7) Projection Revenue Growth (What If Analysis)

1) Historical CAGR (2023–2025) ≈ 21.4%

2) Capacity-Constrained Scenario (No Expansion)

Assume 10% annual growth:

2026 Revenue = 218,000 × 1.10 = 239,800

2027 Revenue = 239,800 × 1.10 = 263,780

Implied CAGR (2025–2027) ≈ 10.0%

3) Historical-Trend Scenario

Assume 21.4% annual growth:

2026 Revenue = 218,000 × 1.214 ≈ 264,700

2027 Revenue = 264,700 × 1.214 ≈ 321,300

Implied CAGR (2025–2027) ≈ 21.4%

4) Expansion Scenario (Two Locations)

Assume original café grows at 8% annually and the second location reaches $140,000 by 2027:

Original café (2027) = 218,000 × 1.08^2 ≈ 254,000

Total 2027 Revenue = Original Café (254,000) + Second Location (140,000) = 394,000

Implied CAGR (2025–2027) = (394,000 / 218,000)^(1/2) − 1 ≈ 34.5%.

Abbreviations (used in the report)

AR = Accounts Receivable

AP = Accounts Payable

COGS = Cost of Goods Sold

CFO = Cash Flow from Operations

FCF = Free Cash Flow

DSO = Days Sales Outstanding

DIO = Days Inventory Outstanding

DPO = Days Payables Outstanding

CCC = Cash Conversion Cycle

Appendix B – Generative AI Use Disclosure

We used ChatGPT as a support tool to (1) compute and verify basic ratios and trends from the provided financial statements, (2) outline the report to match the required questions, and (3) tighten wording for clarity. Our team reviewed all outputs, rechecked calculations, and made the final judgments and recommendations. Example prompts included: “Compute CAGR, margins, and working-capital metrics from these statements,” and “Edit this draft to be concise and judge-ready while staying within the assignment constraints.”